CHAPTER 3

Group Behaviour and Team Dynamics

Learning Objectives

After studying this chapter, students will be able to:

1. Define a group and distinguish between formal and informal groups.
2. Explain Tuckman's five-stage model of group development.
3. Describe group norms, cohesiveness, and their impact on group performance.
4. Explain the group decision-making process and compare three key techniques: brainstorming, NGT, and Delphi.
5. Identify and differentiate between individual, interpersonal, and group conflict; apply resolution strategies.
6. Explain transactional analysis, identify the three ego states, and classify transaction types.
7. Define social loafing and groupthink, explain their causes and remedies.
8. Distinguish between groups and teams; classify the main types of teams used in organizations.

3.1 Meaning and Nature of Groups

No employee works in isolation. From the moment a person joins an organization, they become part of one or more groups — formal or informal, permanent or temporary. Groups are not merely social conveniences; they are the basic unit through which organizations get work done, solve problems, and build culture. Understanding group behaviour is therefore not optional for managers — it is foundational.

Definition: A group is two or more individuals who interact with each other, share a common identity, and pursue collective goals. Interaction is the key criterion — a crowd waiting at a bus stop is not a group; a project team working toward a product launch deadline is (Shaw, 1981; Robbins & Judge, 2013).

Groups possess several defining characteristics that distinguish them from mere collections of people. First, members interact regularly — through face-to-face meetings, digital platforms, or shared workflows. Second, they share a collective identity and sense of belonging. Third, they develop norms — informal rules that govern acceptable behaviour. Fourth, members occupy distinct roles, and fifth, they are interdependent in pursuing shared goals.

KEY TERM — Group

Two or more people who interact, share a collective identity, are psychologically aware of each other, and work toward common goals within an organizational context.

Why Do People Join Groups? The fundamental drivers of group membership are safety and security (people feel less vulnerable in groups), affiliation and belonging (fundamental human needs identified by Maslow), esteem and status (group membership confers identity and social standing), power (collective action achieves what individual action cannot), and goal achievement (tasks too complex for one person require group effort). In Indian organizations,

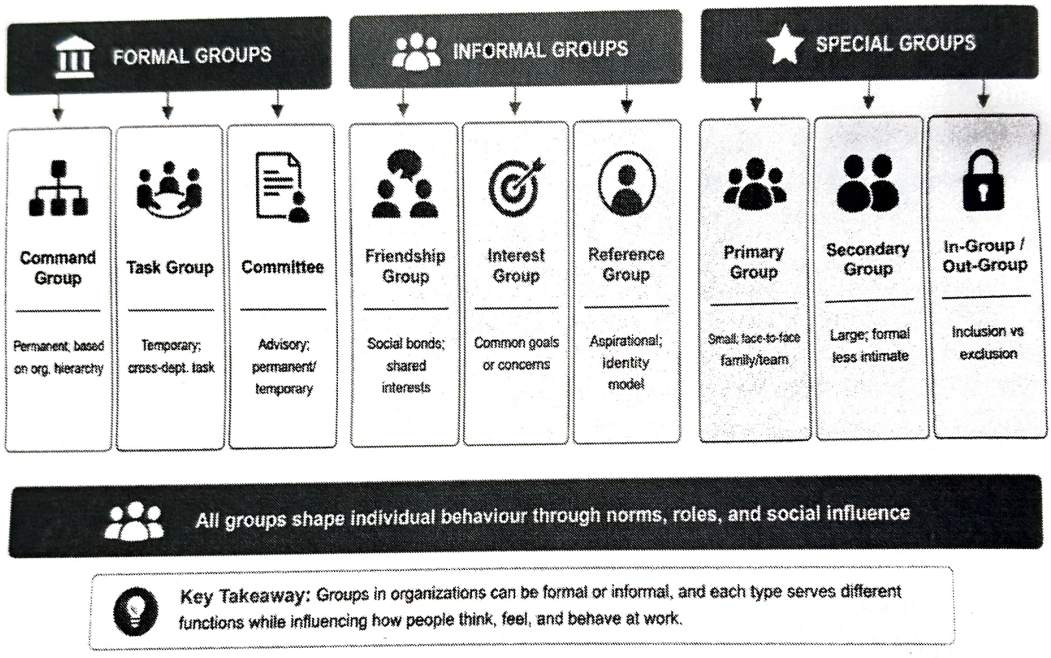
caste networks, regional associations, and professional guilds often function as informal group satisfying these needs in parallel with formal organizational groups.

> **Exam Tip**
> The definition of a group and reasons why people join groups are standard short-answer questions. Learn at least five reasons with a one-line explanation each. Shaw's (1981) definition — mutual interaction and influence — is widely cited.

3.2 Types of Groups

Organizations contain multiple overlapping group types, each serving distinct purposes and operating through different mechanisms. Understanding these distinctions helps managers design structures that harness group energy productively.

Figure 3.1: Types of Groups in Organizations



3.2.1 Formal Groups

Formal groups are deliberately created by the organization to achieve specific organizational objectives. They have defined membership, clear authority relationships, and formally assigned roles.

1. **Command Groups:** The most basic formal group, defined by the organizational chart. A command group consists of a manager and all the employees who report directly to the manager. It is permanent and hierarchically structured. The marketing team of a State Bank of India branch, consisting of the branch manager and their reporting officers, is a command group.
2. **Task Groups:** Formed to accomplish a specific task or project that cuts across departmental lines. Task groups are often temporary — they disband once the task is complete. A committee assembled to plan a hospital's accreditation process, drawing members from administration, nursing, and medical departments, exemplifies a task group.
3. **Committees:** A special form of formal group that serves an advisory or decision-making function. Committees may be standing (permanent, like a finance committee) or ad hoc

(temporary, formed for a specific purpose). Committees are prevalent in Indian public sector organizations and academic institutions.

3.2.2 Informal Groups

Informal groups emerge spontaneously from social interaction, shared interests, or proximity — not from organizational design. They are not shown on any organizational chart, but their influence on organizational behaviour is profound.

1. **Friendship Groups:** Formed around social bonds — people who simply enjoy each other's company. In Indian workplaces, these often form along linguistic or regional lines: Marathi-speaking employees in a Pune factory naturally form friendship clusters. These groups powerfully shape morale and organizational culture.
2. **Interest Groups:** Formed when employees band together to pursue a common cause or protect shared interests. An employee wellness committee that forms spontaneously to petition management for a gymnasium facility is an interest group.
3. **Reference Groups:** These are groups an individual uses as a standard for self-evaluation — aspirational groups whose standards and behaviours one seeks to emulate. A junior executive who models their work style on a senior management group is using it as a reference group.

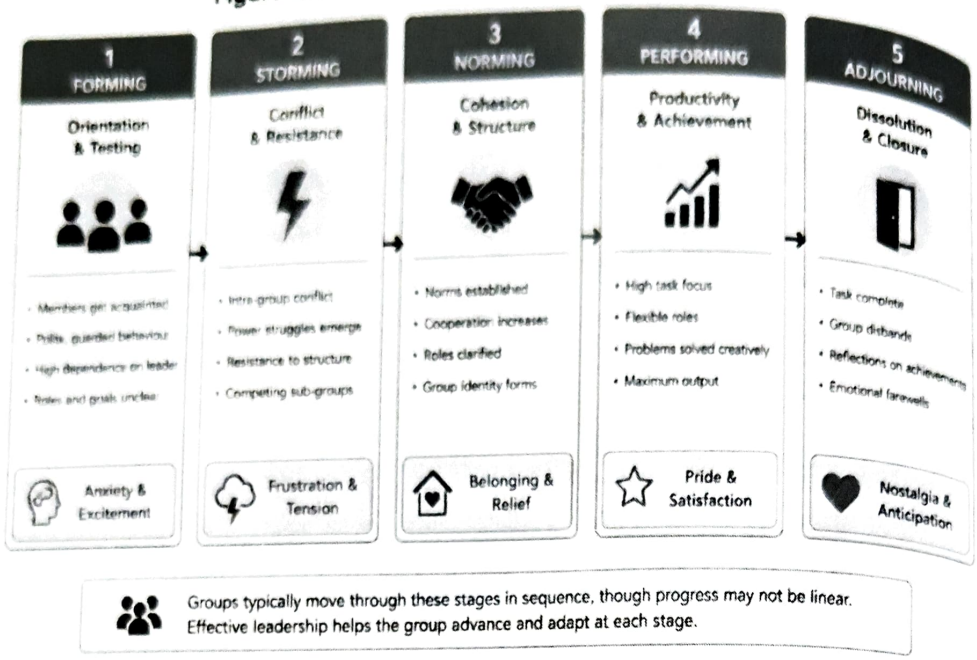
Table 3.1: Formal vs. Informal Groups — Key Differences

Basis	Formal Groups	Informal Groups
Origin	Created by management/organization	Emerge spontaneously from social interaction
Structure	Defined roles, hierarchy, authority	Flexible; based on personality and affinity
Purpose	Achieve organizational goals	Fulfill social and personal needs
Membership	Assigned or formally designated	Voluntary and self-selected
Duration	Depends on organizational need	Depends on shared interest continuity
Example	Project team, committee, department	Friendship circle, interest group, lunch group

3.3 Stages of Group Development

Groups do not achieve peak effectiveness the moment they form. They evolve through recognisable stages, each presenting distinct challenges and requiring different managerial responses. The most widely cited model — Tuckman's five-stage model — was developed by Bruce Tuckman in 1965 and extended with a fifth stage (adjourning) in 1977.

Figure 3.2: Tuckman's Five Stages of Group Development



Stage 1 — Forming: The group comes together for the first time. Members are polite, guarded, and uncertain about the group's purpose, structure, and member roles. Dependence on the formal leader is high — members look to authority figures for guidance. This stage ends when members begin to see themselves as part of the group. In newly constituted project teams at organizations like Wipro, the forming stage often lasts the first week or two of a project.

Stage 2 — Storming: Conflict is the defining feature of this stage. Members begin competing for status and control, challenging each other's views and the group's emerging structure. Subgroups form; resistance to formal leadership often surfaces. This stage is painful but necessary — it is through storming that power structures get negotiated and members' authentic views emerge. Groups that avoid conflict at this stage — appearing to skip storming — often pay a higher price later in the form of groupthink.

Stage 3 — Norming: Conflict resolves into cooperation. The group establishes shared norms — expectations about behaviour, communication, and contribution. Members develop a sense of group identity and mutual trust. Roles become clearer. The leader's role shifts from directive to facilitative. Research shows that groups with well-established, fair norms outperform those that remain in informal ambiguity (Hackman, 2002).

Stage 4 — Performing: The group reaches full functional maturity. Members work interdependently, flexibly shift roles as needed, and solve complex problems creatively. The task takes precedence over social dynamics. Not all groups reach this stage — some dissolve before getting here, and some oscillate between norming and storming indefinitely. Organizations that invest in team development — through coaching, structured feedback, and explicit norm-setting — dramatically improve the proportion of groups that reach performing.

Stage 5 — Adjourning: For temporary groups — project teams, task forces, committees — a final stage involves completing the task and dissolving the group. Members may feel pride in achievement alongside a sense of loss at the group's

end. Effective managers mark the adjourning stage with recognition ceremonies, final reviews, and opportunities for members to say meaningful farewells. This builds institutional memory and prepares members for their next group experience.

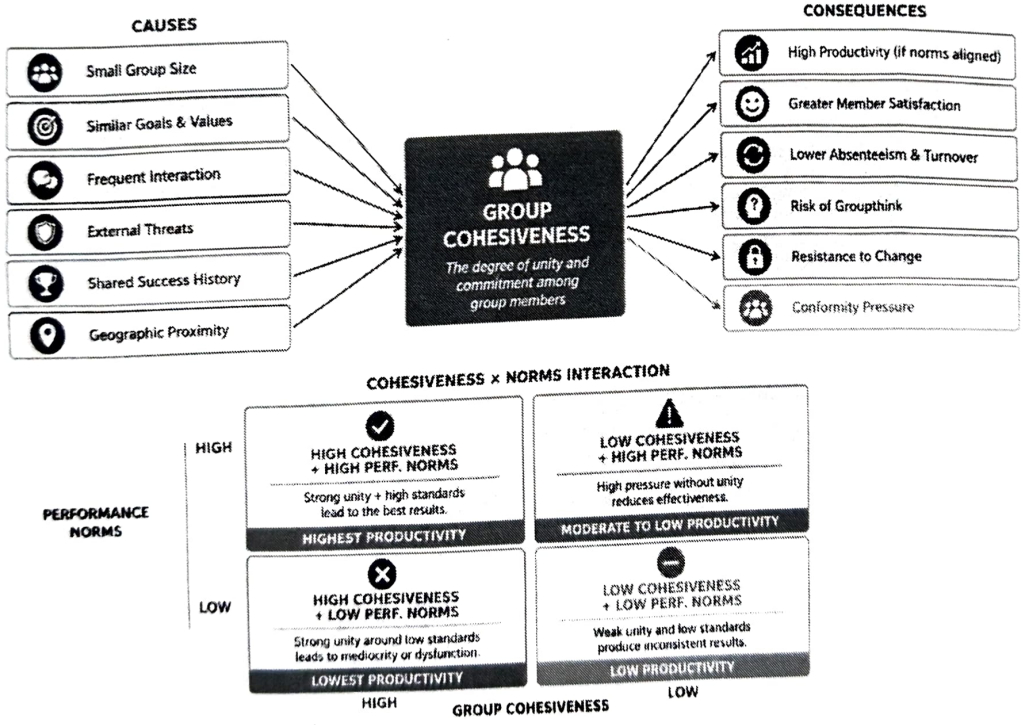
3.3.1 The Punctuated Equilibrium Model

Connie Gersick (1988) proposed an alternative model for temporary groups with fixed deadlines. Rather than progressing through linear stages, these groups display punctuated equilibrium: an initial phase of inertia (Phase 1), a dramatic transition at precisely the midpoint of the allotted time, and a second burst of concentrated activity leading to task completion. The midpoint transition is triggered by time pressure — when group members realize that exactly half their time is gone. At this moment, they radically revise their approach and accelerate activity. Indian IT project teams working to client deadlines often display this pattern.

> **Exam Tip**
>
> The five stages of group development — Forming, Storming, Norming, Performing, Adjourning — are a top-frequency exam topic. The mnemonic FSNPA works but the more memorable one is 'Foolish Students Never Pass Adulthood.' Know what happens at each stage and what the manager should do.

3.4 Group Norms and Cohesiveness

Figure 3.3: Group Cohesiveness — Causes, Consequences, and Norms Interaction



3.4.1 Group Norms

Definition: Group norms are informal rules of conduct, shared expectations about behaviour, that are established and enforced by group members to maintain behavioural consistency and predictability. They may be explicit (written codes of conduct) or implicit (unspoken expectations). Norms cover performance (how hard to work), appearance (what to wear), social behaviour (how to interact), and resource allocation (who gets what) (Robbins & Judge, 2013).

Norms develop from explicit statements by group leaders, from critical incidents that reveal

persist), and from carry-over from previous group experiences. They are enforced through social pressure, praise, ridicule, or exclusion.

The most consequential norms are performance norms — expectations about how hard members work and what quality of output is acceptable. In a group with high performance norms, a new member who works less than expected will face social pressure to conform. But when performance norms are low — as the Hawthorne researchers discovered in the Bank Wiring Room experiments — employees deliberately restrict output to protect slower workers from being exposed.

> **KEY TERM — Group Norms**
>
> Informal shared standards of acceptable behaviour that group members are expected to follow, enforced through social approval and disapproval.

3.4.2 Group Cohesiveness

Definition: Group cohesiveness is the degree to which members are attracted to the group feel a strong sense of belonging, and are motivated to remain members. It is the 'glue' tha holds the group together. Cohesive groups interact more frequently, communicate more openly conform more readily to norms, and experience higher member satisfaction (Festinger Schachter, & Back, 1950).

Cohesiveness is increased by factors including small group size, similarity in values and goals success experiences, external threats or competition, geographic proximity, and frequency o interaction. It is reduced by large group size, internal conflict, turnover, and competing goals.

Cohesiveness and Performance: The relationship between cohesiveness and performance i not simple. It is moderated by group norms. When cohesiveness is high and performance norm are also high, productivity reaches its maximum — members both want to stay in the group an believe hard work is expected. When cohesiveness is high but performance norms are lo productivity drops to its minimum — members conform to the low-output norm because the value group membership. When cohesiveness is low, performance is moderate regardless o norms, because group influence is weak (Robbins & Judge, 2013).

> **KEY TERM — Group Cohesiveness**
>
> The degree to which members are attracted to the group, identify with it, and are motivated to remain in it; a key determinant of group performance when combined with high performance norms.

> **Exam Tip**
>
> The cohesiveness-performance relationship is a frequent exam question, particularly as a diagram. Draw a 2x2 matrix: rows = High/Low Cohesiveness, columns = High/Low Performance Norms, and fill in the productivity outcomes: High-High = Highest productivity; High-Low = Lowest; Low-High = Moderate to high; Low-Low = Moderate to low.

3.5 Group Decision-Making Process

Groups often make better decisions than individuals when tasks are complex, when diverse knowledge and perspectives are needed, or when acceptance of the decision by multiple stakeholders matters. But groups also introduce unique risks — they can be slow, politically manipulated, or prone to pressure for conformity. Understanding when and how groups make decisions is essential for effective management.

Advantages of Group Decision-Making: Groups generate more complete information and knowledge by pooling the expertise of multiple members. They produce greater diversity of

perspectives, reducing the risk of blind spots. Participation increases acceptance and commitment — employees who participate in decisions are more likely to implement them enthusiastically. And for complex, multifaceted problems, the group's aggregated information-processing capacity exceeds that of any single individual.

Disadvantages of Group Decision-Making: Group decisions take significantly more time than individual decisions. Social dynamics can be distorted by dominant or high-status members who suppress the contributions of others. Groups can engage in risky shift — making decisions more extreme than any individual member would make alone. And the desire for harmony can produce groupthink — a phenomenon examined in detail in Section 3.9.

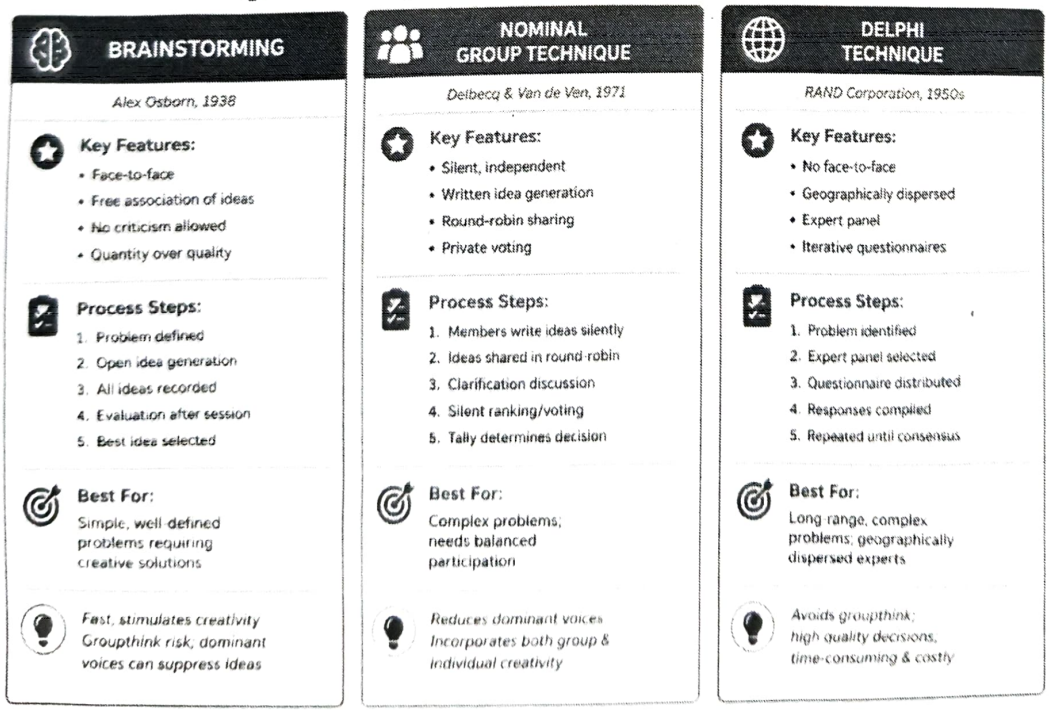
Table 3.2: Individual vs. Group Decision-Making Compared

Dimension	Individual Decision-Making	Group Decision-Making
Speed	Fast	Slower; coordination takes time
Information	Limited to one person's knowledge	Pooled from multiple experts
Creativity	May be higher in isolation	Higher with structured techniques (NGT, brainstorming)
Acceptance	Low; others may resist	High; participation builds commitment
Accountability	Clear — one person is responsible	Diffuse — responsibility may be unclear
Risk of bias	Personal biases	Groupthink, risky shift, conformity pressure
Best suited for	Simple, urgent, technical decisions	Complex, ambiguous, multi-stakeholder decisions

3.6 Group Decision-Making Techniques

Three structured techniques have emerged to harness the advantages of group decision-making while reducing its pathologies — particularly the tendency for dominant voices to suppress creative or minority views.

Figure 3.4: Group Decision-Making Techniques Compared



3.6.1 Brainstorming

Origin and Rationale: Brainstorming was developed by advertising executive Alex Osborn in 1938 and is built on two foundational principles: deferred judgement (ideas should not be evaluated during generation) and the assumption that quantity breeds quality (the more ideas generated, the higher the probability of finding a genuinely valuable one).

A brainstorming session typically involves 6-10 participants sitting together for 40-60 minutes. Four rules govern the process: criticism is absolutely forbidden during the idea-generation phase; freewheeling — the wilder the idea, the better — is welcomed; quantity of ideas is explicitly prioritized over quality; and participants are encouraged to build on each other's ideas by combining, extending, or modifying them. All ideas are written on a whiteboard or flip chart visible to all.

Brainstorming works best for well-defined, specific problems. It is less effective for complex, multi-dimensional problems where focused analysis is needed. The technique is widely used in Indian advertising, software development, and product design — companies like Flipkart, Byju's, and Zomato regularly use brainstorming in their product innovation processes.

> **KEY TERM — Brainstorming**
> A group idea-generation technique based on deferred judgement and free association, where criticism is suspended to encourage the widest possible range of creative responses to a problem.

3.6.2 Nominal Group Technique (NGT)

Origin and Structure: The Nominal Group Technique was developed by Delbecq and Van de Ven in 1971. Despite its name, the group is 'nominal' — in name only — during the critical idea-generation phase: members do not interact. This design prevents dominant personalities from suppressing minority views.

The NGT process follows a strict sequence. First, members receive the problem statement and spend 5-10 minutes generating ideas silently and independently in writing. Second, each member presents their ideas in a round-robin sequence — one idea at a time, with no discussion — and ideas are recorded publicly where all can see them. Third, clarification questions may be asked, but no evaluation or debate is permitted at this stage. Fourth, members privately rank or rate each idea using a structured scoring system. Fifth, rankings are tallied and the idea with the highest aggregate score becomes the group's preferred option, subject to final discussion.

NGT integrates the advantages of individual creativity (through the silent generation phase) with the benefits of group interaction (through the sharing and discussion phase), while structurally preventing dominance effects. Research consistently shows NGT produces more ideas of higher quality than unstructured group discussion (Delbecq, Van de Ven, & Gustafson, 1975).

> **KEY TERM — Nominal Group Technique (NGT)**
> A structured group decision-making process in which members generate ideas independently in writing before sharing them in a round-robin format and voting privately, thereby reducing the influence of dominant personalities.

3.6.3 Delphi Technique

Origin and Design: The Delphi Technique was developed by the RAND Corporation in the 1950s, originally for defence forecasting. It is the most structurally unique of the three techniques because participants never meet face-to-face — they may be geographically dispersed across cities or countries.

The process works through a series of structured questionnaire rounds. A coordinator identifies a panel of experts and sends them the first questionnaire, which states the problem and invites potential solutions or forecasts. Responses are collected, analysed, and summarized. The summary — showing the range and distribution of expert opinions — is sent back to all participants along with a second questionnaire. Participants revise their estimates in light of the group's collective responses. This iterative process continues until consensus emerges or positions stabilize.

The Delphi Technique's strength lies in its anonymity — no participant knows who else is on the panel — which insulates opinions from social pressure, status effects, and interpersonal conflict. It is particularly valuable for long-range, complex forecasting problems: technology trajectory predictions, economic scenario planning, and policy impact assessments. Indian planning bodies like NITI Aayog have employed Delphi-style expert consultations for long-term strategic planning.

KEY TERM — Delphi Technique

A structured, multi-round group decision-making method in which geographically dispersed experts provide anonymous opinions through successive questionnaires until consensus emerges, without any face-to-face interaction.

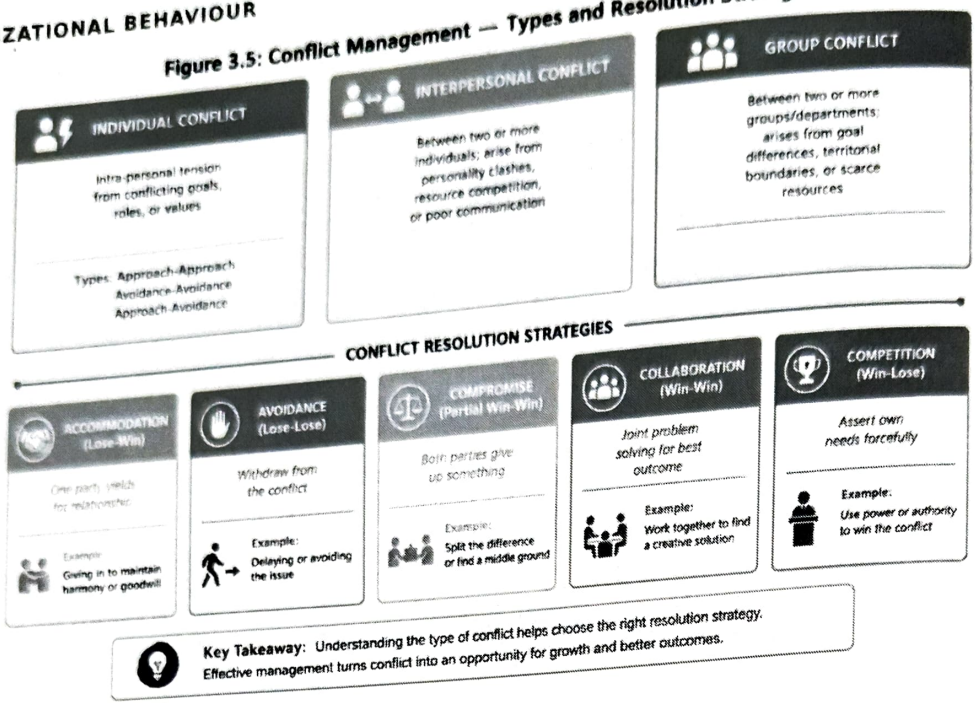
Common Mistake

Students confuse NGT and Delphi. The key distinction: NGT involves face-to-face meeting in the sharing and voting phases; Delphi has NO face-to-face interaction at any stage. Both use anonymous individual input, but they differ fundamentally on whether members ever meet.

3.7 Conflict Management

Conflict is not the enemy of organizational effectiveness — unmanaged conflict is. Research by De Dreu and Weingart (2003) distinguishes task conflict (disagreements about goals and work methods) from relationship conflict (personal antagonism). Moderate task conflict can enhance decision quality by forcing deeper analysis; relationship conflict consistently damages performance and well-being. The manager's task is not to eliminate conflict but to channel it productively.

Figure 3.5: Conflict Management — Types and Resolution Strategies



3.7.1 Individual Conflict

Individual conflict — also called intra-personal conflict — arises within a single person when they face incompatible goals, desires, or role expectations. Three classical types exist:

Approach-Approach Conflict: Choosing between two equally desirable alternatives. An employee offered two equally attractive job transfers — Bangalore or Mumbai — experiences approach-approach conflict. This is the least stressful type.

Avoidance-Avoidance Conflict: Choosing between two equally undesirable options. An employee who must either accept a pay cut or face retrenchment experiences avoidance-avoidance conflict — a highly stressful dilemma.

Approach-Avoidance Conflict: A single option has both attractive and repulsive qualities. A promotion that offers higher pay but requires relocation away from family creates this most common form of individual conflict.

> **KEY TERM — Individual Conflict**
> Intra-personal tension arising from incompatible goals, desires, or role expectations within a single individual, manifesting in three classical forms: approach-approach, avoidance-avoidance, and approach-avoidance.

3.7.2 Interpersonal Conflict

Interpersonal conflict occurs between two or more individuals and is the most visible form of organizational conflict. Its causes span a wide range: incompatible personality styles (a highly structured person clashing with a spontaneous, improvisational colleague); competition for scarce resources (two department heads competing for the same budget allocation); role ambiguity (two employees both believing they hold authority over a particular decision); differing values or priorities; and communication failures that generate misunderstanding and resentment.

Interpersonal conflict that is unaddressed escalates in predictable stages: initial tension, verbal disagreement, overt hostility, formal complaints, and ultimately either termination of the

relationship or organizational intervention. Managers who intervene early — by facilitating structured conversation between parties — prevent far more damage than those who wait for conflicts to resolve themselves.

3.7.3 Group Conflict

Group conflict — also called inter-group conflict — occurs between two or more groups within the organization. It is inherently more complex than interpersonal conflict because it involves coalitions, institutional interests, and collective identities.

Causes of Group Conflict: Goal incompatibility — when different departments or teams pursue objectives that logically conflict (production seeks large batches for efficiency; sales seeks small custom orders for responsiveness). Scarce resources — budget, talent, space, and management attention must be shared and allocated, creating competition. Jurisdictional ambiguity — uncertainty about which group has authority over a decision or process. Status incongruence — perceived inequities in recognition, compensation, or resources between groups. And task interdependence — when one group depends on another's output, delays or quality failures in the upstream group create frustration and conflict downstream.

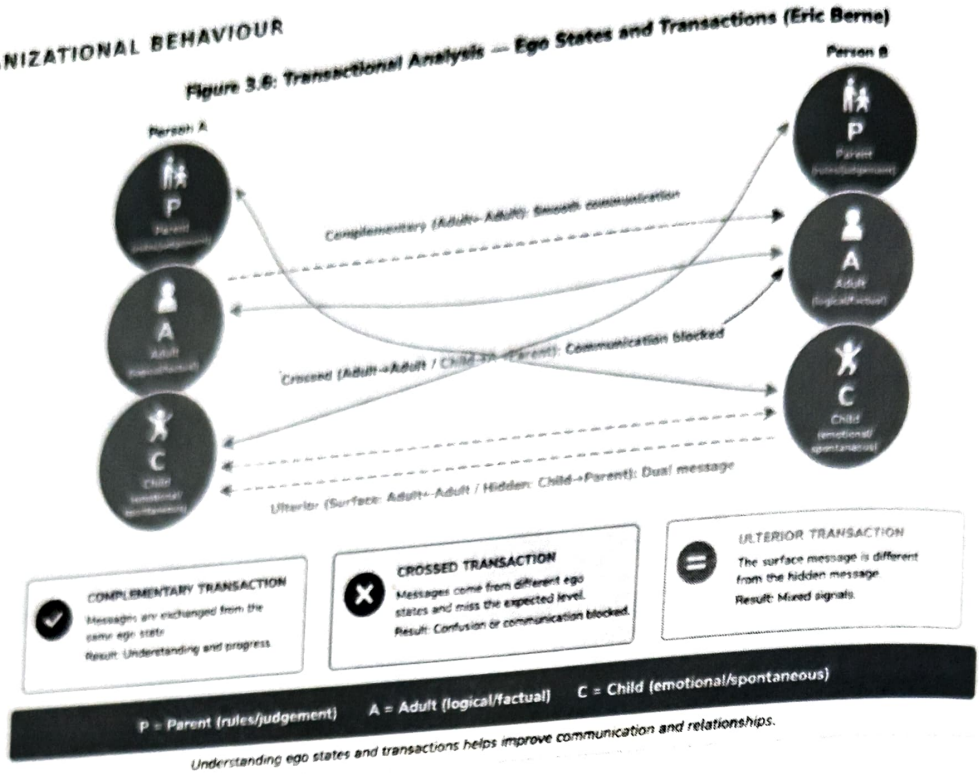
Effective strategies for managing conflict include accommodation (one party yields for the sake of the relationship — useful when the issue is more important to the other party), avoidance (temporarily sidestepping the conflict — effective when emotions are high and time is needed), compromise (both parties give up something — practical when goals are partially incompatible), collaboration (joint problem-solving to find a solution that fully satisfies both parties — the win-win approach and the most effective long-term strategy), and competition (asserting one's own position strongly — appropriate when a quick, decisive action is needed on a critical issue).

> **Exam Tip**
>
> Conflict management questions frequently ask for definitions of the three types AND the five resolution strategies (Thomas-Kilmann model). For the strategies, associate each with a keyword: Avoidance = 'withdraw', Accommodation = 'yield', Compromise = 'split', Collaboration = 'win-win', Competition = 'assert'.

3.8 Transactional Analysis

Every time two people interact in an organization — a manager giving feedback, a colleague requesting information, a client making a complaint — a transaction occurs. Transactional Analysis (TA) is a framework for understanding, analysing, and improving these interactions. Developed by Dr. Eric Berne in the 1960s, TA offers a remarkably practical toolkit for diagnosing communication failures and redesigning them for effectiveness.

Definition: Transactional Analysis is a social psychology theory and therapeutic approach that analyses the psychological exchanges (transactions) between individuals based on the ego state from which each person communicates. Berne argued that every person, regardless of age, carries three distinct ego states — Parent, Adult, and Child — and that the quality of interpersonal communication depends on which ego states are engaged in a given transaction (Berne, 1964).



3.8.1 The Three Ego States

Parent Ego State: Contains the values, beliefs, rules, and behaviours absorbed from parents and authority figures during childhood. The Parent ego state has two sub-forms: the Nurturing Parent (supportive, encouraging, empathetic — 'You can do it; I believe in you') and the Critical Parent (judgmental, controlling, rule-enforcing — 'You always make the same mistakes'). When managers adopt a Critical Parent ego state, they create subordinate dependence and resentment. When they lead from the Nurturing Parent, they build confidence and psychological safety.

Adult Ego State: The rational, data-driven, present-focused state. The Adult ego state processes information logically, generates alternatives, makes decisions based on evidence, and treats others as equals. It is the ideal state for professional organizational communication — problem-solving discussions, performance feedback, project planning, and negotiation. The Adult ego state is not cold or emotionless; it can acknowledge feelings while remaining anchored in facts and analysis.

Child Ego State: Contains behaviours, thoughts, and feelings that were natural responses in childhood and are replayed in adult life. The Free Child is spontaneous, creative, and emotionally expressive — the source of enthusiasm, humour, and playfulness that makes work human. The Adapted Child is the socially conditioned dimension — compliant when approval-seeking, rebellious when feeling controlled. An employee who silently seethes but says 'Yes sir' is in Adapted Child; one who bursts into laughter at an absurd situation is in Free Child.

3.8.2 Types of Transactions

Complementary Transactions: The response comes from the ego state that was addressed, and goes back to the ego state that initiated. Communication flows

smoothly because expectations are met. A manager asks (Adult to Adult): 'Can you have the report ready by Friday?' The subordinate responds (Adult to Adult): 'Yes, I'll have it on your desk by Thursday afternoon.' This is a complementary Adult-Adult transaction — the most effective in professional settings.

Crossed Transactions: The response comes from an unexpected ego state, breaking the communication flow. A manager asks (Adult): 'Why wasn't this submitted on time?' The subordinate responds (Child): 'Why does everyone always blame me?' The transaction is crossed — the Adult stimulus was met with a Child response. Crossed transactions are the primary source of communication breakdowns in organizations. Resolution requires one party to consciously shift their ego state to establish complementarity.

Ulterior Transactions: Two messages operate simultaneously — an overt social-level message and a covert psychological-level message. A supervisor who says 'Of course, take all the time you need' (Adult surface) while displaying visible impatience sends an ulterior message at the Child-Parent level that the employee should feel guilty for asking. Ulterior transactions create confusion, erode trust, and are a hallmark of passive-aggressive communication styles.

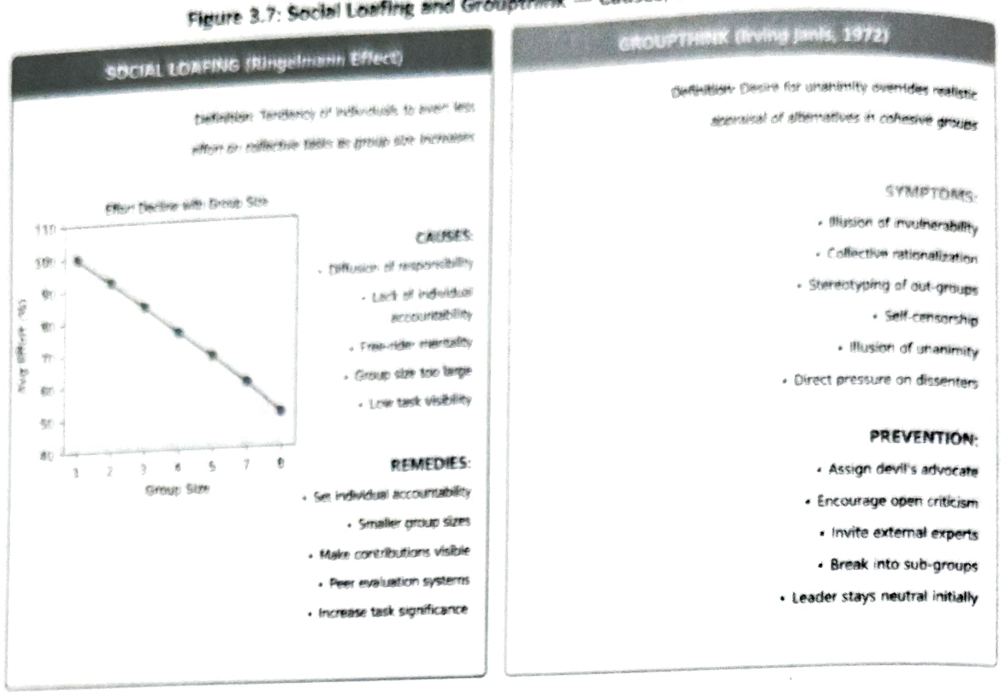
Organizational Application: TA has been applied extensively in management training, leadership development, and conflict resolution. Training managers to communicate predominantly from the Adult ego state, to recognise when they slip into Critical Parent, and to engage employees' Adult rather than Child ego states produces measurably better communication outcomes. Companies that invest in TA-based communication training — including several large Indian public sector organizations — report reductions in grievances, improved supervisor-subordinate relationships, and higher team morale.

KEY TERM — Transactional Analysis

A theory of communication and interpersonal behaviour (Eric Berne, 1964) that analyses exchanges between individuals in terms of three ego states — Parent, Adult, and Child — to diagnose and improve the quality of communication.

3.9 Social Loafing and Groupthink

Figure 3.7: Social Loafing and Groupthink — Causes, Effects, and Remedies



3.9.1 Social Loafing

The Ringelmann Effect: In the 1880s, the French agricultural engineer Max Ringelmann conducted a series of rope-pulling experiments that yielded a startling finding: as group size increased, each individual's average contribution decreased. A person pulling alone exerted 100% effort; in a group of 8, average individual effort dropped to approximately 49%. This phenomenon — the tendency to exert less individual effort on collective tasks as group size increases — is called social loafing (Latané, Williams, & Harkins, 1979).

Social loafing occurs because large groups diffuse both responsibility (no single person feels accountable for the outcome) and identifiability (individual contributions become invisible in collective output). The free-rider mentality — the belief that others will compensate for reduced personal effort — compounds the problem. Social loafing is not laziness; it is a rational response to an incentive structure that does not reward individual effort.

Remedies: Managers can reduce social loafing by making individual contributions visible and measurable, setting specific individual performance targets within group tasks, reducing group size to a manageable number (research suggests 5-7 as optimal for most tasks), creating a sense of task significance and personal responsibility, and implementing peer evaluation systems where members rate each other's contributions. Indian IT firms like Infosys have addressed social loafing through individual sprint velocity metrics within agile team frameworks.

> **KEY TERM — Social Loafing**
> The tendency for individuals to exert less effort on collective tasks as group size increases, due to diffusion of responsibility and reduced identifiability of individual contributions (Ringelmann Effect).

3.9.2 Groupthink

Irving Janis (1972): Groupthink describes a deterioration of mental efficiency, reality testing, and moral judgement that results from in-group pressures in highly cohesive groups. Janis

developed the concept after analysing historical policy failures — including the Bay of Pigs invasion in 1961 and the escalation of the Vietnam War — where highly intelligent, experienced decision-makers made catastrophically poor decisions because the desire for unanimous agreement overrode individual critical analysis.

Groupthink is paradoxically more likely in high-cohesion groups — precisely the groups we might expect to perform best. The very closeness and solidarity that make cohesive groups attractive also create pressure for conformity that silences dissent.

Symptoms of Groupthink: Janis identified eight symptoms grouped into three clusters. Overestimation of the group's power and morality includes the illusion of invulnerability (excessive optimism and risk-taking) and belief in the group's inherent morality (ignoring ethical consequences). Closed-mindedness includes collective rationalization (dismissing contradicting evidence) and stereotyping of out-groups (viewing opponents as weak, evil, or stupid). Pressures toward uniformity include self-censorship (individuals suppress doubts), illusion of unanimity (silence is interpreted as agreement), direct pressure on dissenters, and the emergence of self-appointed 'mindguards' who filter information reaching the group.

Prevention Strategies: Effective antidotes to groupthink include formally appointing a devil's advocate to challenge the group's emerging consensus, inviting external experts to provide independent perspectives, breaking the group into sub-teams to develop competing proposals, having the leader withhold their own opinion at the beginning of discussions (to avoid anchoring), and creating a psychological climate where dissent is explicitly rewarded rather than punished. Research shows that groups that practise structured dissent consistently make better decisions than those that do not (Nemeth, 2018).

> **KEY TERM — Groupthink**
>
> A mode of thinking in which the desire for harmony and conformity in a cohesive group overrides realistic appraisal of alternatives, leading to flawed decisions (Irving Janis, 1972).

> **Common Mistake**
>
> Students often say groupthink occurs only in very large groups. This is incorrect — groupthink is most likely in small, highly cohesive groups where the pressure to maintain harmony is strongest. Size is not the primary risk factor; cohesion combined with isolation and directive leadership is.

3.10 Team Management

The term 'team' is used loosely in organizational life — every department gets called a team. But genuine teams are qualitatively different from groups, and the distinction has real consequences for how managers should lead them.

3.10.1 Meaning and Characteristics of Teams

Definition: A work team is a small number of people with complementary skills who are committed to a common purpose, performance goals, and working approach for which they hold themselves mutually accountable (Katzenbach & Smith, 1993). This definition highlights four elements that distinguish real teams from groups: complementary skills (not random or identical), common purpose (not just shared information), joint accountability (not just individual responsibility), and commitment to a specific working approach.

Effective teams share several characteristics. They are small enough for genuine interdependence — research suggests 5-10 members as optimal for most task types. Members possess complementary skills across three domains: technical or functional expertise, problem-solving and decision-making skills, and interpersonal skills. The team sets specific, measurable

performance goals that create urgency and direction. Members hold each other mutually accountable — not just accountable to a manager. And the team's working approach — how they meet, communicate, make decisions, and resolve conflict — is explicitly agreed upon.

> **KEY TERM — Work Team**
> A small group with complementary skills committed to a common purpose, measurable performance goals, and mutual accountability for their collective output.

3.10.2 Difference Between Groups and Teams

Figure 3.8: Difference Between Groups and Teams

WORK GROUP	DIMENSION	WORK TEAM
Shared information	**Goal**	Collective performance
Neutral (sometimes negative)	**Synergy**	Positive — the whole > sum of parts
Individual	**Accountability**	Individual AND collective
Random or varied	**Skills**	Complementary and deliberate
Single strong leader	**Leadership**	Shared leadership roles
Discuss, decide, delegate	**Interaction**	Discuss, decide, do real work together
No strong group identity	**Identity**	Strong team identity; esprit de corps
Individual contributions	**Output**	Joint work products

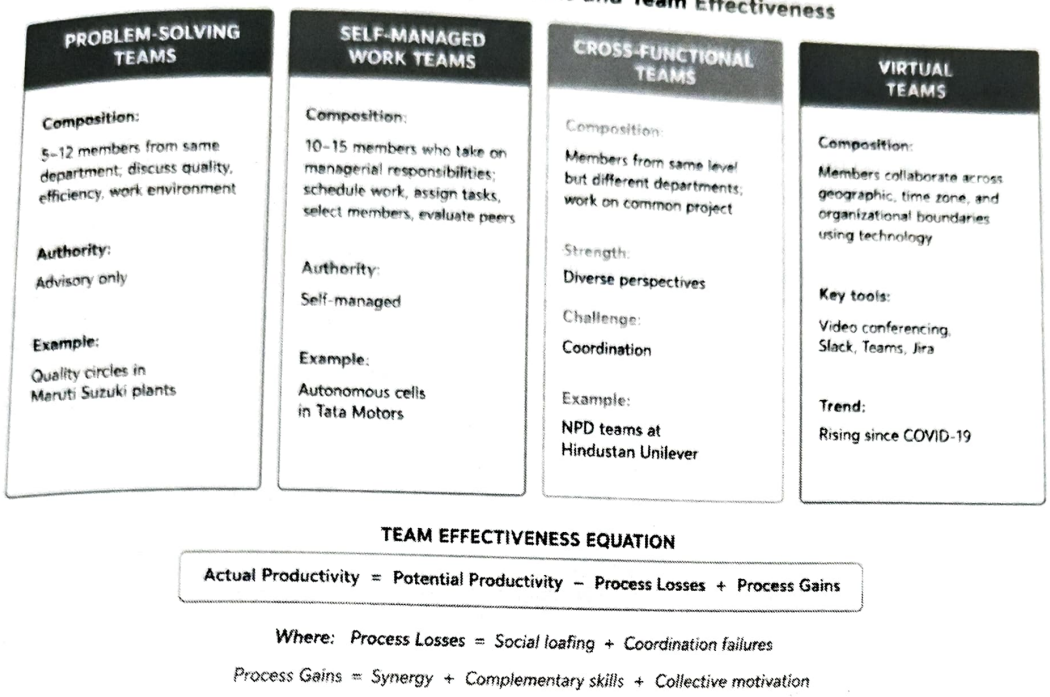
All teams are groups, but not all groups are teams — teams require complementary skills and collective accountability

The fundamental difference lies in how members relate to each other and to the work. In a work group, the primary relationship is between each individual and the manager — members share information and make decisions that help each individual do their part better, but they do not produce joint work products. In a work team, the primary relationship is among the members themselves — they produce collective outputs that require combined effort, shared decision-making, and joint accountability. A marketing department is typically a work group; a new-product development task force is typically a team.

The Team Performance Curve: Katzenbach and Smith (1993) describe a progression from working group to pseudo-team (people trying to work as a team but without the commitment or clarity) to potential team (has the right intention but lacks clear goals or working approach) to real team (small group with complementary skills and genuine mutual accountability) to high-performance team (real team with deeply committed, personally invested members who care about each other's growth). Most organizational teams operate as potential teams rather than real ones — a significant untapped performance opportunity.

3.10.3 Types of Teams

Figure 3.9: Types of Teams and Team Effectiveness



Problem-Solving Teams: Groups of 5-12 members, typically from the same department or function, who meet regularly to discuss quality improvements, production methods, or customer service problems. They share ideas and make recommendations but rarely have the authority to implement their proposals unilaterally. Quality circles in Indian manufacturing companies like Bajaj Auto are classic examples. Their strength is deep domain expertise; their limitation is the lack of direct implementation authority.

Self-Managed Work Teams: Groups of 10-15 employees who take on many responsibilities traditionally held by supervisors — scheduling their own work, assigning tasks, monitoring quality, and even hiring or evaluating fellow members. Self-managed teams require a fundamentally different managerial role: less directive oversight and more coaching, resource provision, and boundary management. Some Tata Motors manufacturing cells in Pune have moved toward self-managed team structures, with measurable improvements in quality and employee engagement.

Cross-Functional Teams: Members are drawn from the same hierarchical level but from different departments or functional areas — engineering, marketing, finance, operations, and HR working together on a common project. Cross-functional teams are the primary vehicle for new product development, process redesign, and strategic planning in complex organizations. Their strength is the synthesis of diverse expertise; their challenge is coordination across different functional cultures, vocabularies, and priorities. Hindustan Unilever's new product development teams, which bring together R&D, marketing, supply chain, and finance, are cross-functional teams.

Virtual Teams: Members collaborate across geographic, time zone, and organizational boundaries using digital communication technologies — video conferencing, project management platforms, shared documents, and messaging

applications. Virtual teams have become ubiquitous since the COVID-19 pandemic dramatically accelerated remote work adoption. Their advantages include access to global talent and 24-hour work cycles; their challenges include building trust, managing communication across time zones, and maintaining engagement without face-to-face interaction. Indian IT services companies — TCS, Infosys, Wipro — have developed extensive capabilities in virtual team management through decades of offshore-onshore collaboration.

Table 3.3: Types of Teams and Their Organizational Applications

Type of Team	Size	Key Feature	Best Suited For	Example
Problem-Solving	5-12	Same dept.; advisory role	Quality, efficiency improvements	Quality circles in Maruti
Self-Managed	10-15	Autonomous; supervisory functions	Routine production tasks	Autonomous cells in Tata Motors
Cross-Functional	Varies	Multi-dept.; same level	NPD, strategic projects	HUL product development teams
Virtual	Varies	Geography-independent; tech-mediated	Global collaboration	TCS offshore-onshore delivery teams

Exam Tip

The four types of teams — Problem-Solving, Self-Managed, Cross-Functional, and Virtual — are a standard exam question. For each type, know its defining characteristics, its organizational advantage, and one Indian example. The distinction between self-managed and cross-functional teams is frequently tested.

Chapter Summary

Chapter Summary

1. A group is two or more people who interact, share a collective identity, and work toward common goals. People join groups for security, affiliation, esteem, power, and goal achievement.
2. Groups are classified as formal (command, task, committee) or informal (friendship, interest, reference). Formal groups achieve organizational objectives; informal groups fulfill social needs.
3. Tuckman's five stages — Forming, Storming, Norming, Performing, Adjourning — describe how groups evolve. Gersick's punctuated equilibrium model applies to deadline-bound temporary groups.
4. Group norms are informal standards of behaviour enforced through social pressure. Group cohesiveness determines the strength of norm compliance. Cohesiveness drives maximum productivity only when combined with high performance norms.
5. Groups offer advantages (diverse knowledge, better acceptance) and disadvantages (slow, risky shift, groupthink) relative to individual decision-making.
6. Three structured decision-making techniques: Brainstorming (free association, no criticism), NGT (silent generation + private voting), Delphi (anonymous iterative questionnaires with dispersed experts).
7. Conflict types: individual (approach-approach, avoidance-avoidance, approach-avoidance), interpersonal, and group. Resolution strategies: avoidance, accommodation, compromise, collaboration (win-win), competition.
8. Transactional Analysis (Berne, 1964) analyses communication through three ego states: Parent (rules/values), Adult (logic/facts), Child (emotion/spontaneity). Transaction types: complementary (smooth), crossed (blocked), ulterior (hidden message).
9. Social loafing (Ringelmann Effect): individuals reduce effort in larger groups due to diffusion of responsibility. Remedies include individual accountability and smaller group sizes.
10. Groupthink (Janis, 1972): cohesive groups sacrifice realistic analysis for unanimity. Prevention requires devil's advocates, external critique, and psychologically safe dissent.
11. Teams differ from groups through complementary skills, collective accountability, and joint work products. Types: problem-solving, self-managed, cross-functional, and virtual teams.

Practice Questions

A. Multiple Choice Questions (MCQs)

1. The five stages of group development in Tuckman's model are:

(a) Forming, Fighting, Norming, Performing, Adjourning

(b) Forming, Storming, Norming, Performing, Adjourning

(c) Forming, Storming, Naming, Performing, Adjourning

(d) Meeting, Storming, Norming, Performing, Completing

Answer: (b) Forming, Storming, Norming, Performing, Adjourning

2. The stage of group development characterized by intragroup conflict and power struggles is:

(a) Forming

(b) Norming

(c) Storming

(d) Adjourning

Answer: (c) Storming

3. When cohesiveness is high and performance norms are also high, group productivity is:

(a) Lowest

(b) Moderate

(c) Unaffected

(d) Highest

Answer: (d) Highest

4. Which group decision-making technique involves experts who are geographically dispersed and never meet face-to-face?

(a) Brainstorming

(b) Nominal Group Technique

(c) Delphi Technique

(d) Quality circles

Answer: (c) Delphi Technique

5. Transactional Analysis was developed by:

(a) Sigmund Freud

(b) Eric Berne

(c) Abraham Maslow

(d) Kurt Lewin

Answer: (b) Eric Berne

6. In which type of transaction does the response come from an unexpected ego state, causing communication breakdown?

(a) Complementary transaction

(b) Ulterior transaction

(c) Crossed transaction

(d) Adult-Adult transaction

Answer: (c) Crossed transaction

7. Social loafing was first documented through rope-pulling experiments by:

(a) Irving Janis

(b) Alex Osborn

(c) Max Ringelmann

(d) Bruce Tuckman

Answer: (c) Max Ringelmann

8. Which type of conflict is experienced when choosing between two equally undesirable alternatives?

(a) Approach-approach

(b) Avoidance-avoidance

(c) Approach-avoidance

(d) Interpersonal

Answer: (b) Avoidance-avoidance

9. In NGT (Nominal Group Technique), the critical idea-generation phase requires participants to:

(a) Discuss ideas freely as a group

(b) Generate ideas silently and independently in writing

(c) Vote publicly on ideas

(d) Challenge each other's suggestions immediately

Answer: (b) Generate ideas silently and independently in writing

10. A team where members from different departments work at the same hierarchical level on a common project is called:

(a) Problem-solving team

(b) Virtual team

(c) Self-managed team

(d) Cross-functional team

Answer: (d) Cross-functional team

B. Short Answer Questions

1. Define a group. Why do people join groups in organizations?
2. Explain Tuckman's five stages of group development.
3. What is group cohesiveness? How does it interact with performance norms?
4. Distinguish between brainstorming and the Nominal Group Technique.
5. Define social loafing. What causes it and how can managers prevent it?
6. Explain the three ego states in Transactional Analysis.
7. What is groupthink? List three symptoms and three remedies.
8. Distinguish between formal and informal groups with examples.
9. What is the difference between a work group and a work team?
10. List and briefly explain the four types of teams used in modern organizations.

C. Long Answer / Descriptive Questions

1. Define a group. Explain Tuckman's five-stage model of group development with a diagram. What managerial actions are appropriate at each stage?
2. Discuss the concept of group cohesiveness. Explain the factors that increase cohesiveness and the relationship between cohesiveness and performance using a matrix diagram.
3. Compare and contrast brainstorming, Nominal Group Technique, and Delphi Technique as methods of group decision-making. When is each most appropriate?

4. Explain the concept of Transactional Analysis. Describe the three ego states and the three types of transactions with examples from Indian organizational settings.
5. Define social loafing and groupthink. Explain their causes, effects, and prevention strategies. How are these two phenomena similar and different?
6. What is a team? How does a work team differ from a work group? Describe the four types of teams found in modern organizations with Indian examples.

D. Case-Based / Analytical Question

Case Study — The Strategic Planning Committee at Odisha Agro Products Ltd.

Odisha Agro Products Ltd. (OAPL) is a state government enterprise that processes and markets agricultural produce from Odisha. In 2023, OAPL's Managing Director, Dr. Pradeep Sahu, formed a Strategic Planning Committee (SPC) of 12 senior officials to develop a five-year growth strategy. The committee included the heads of production, marketing, finance, HR, and logistics, along with four domain experts from agricultural research institutions.

The committee met fortnightly over six months. By the third meeting, a clear dynamic had emerged. Two senior officials — the Head of Marketing, Mr. Ramesh Nayak, and the Head of Finance, Ms. Sunita Biswal — dominated every discussion. They frequently interrupted others, dismissed ideas they disagreed with, and occasionally exchanged sharp words. Three of the quieter members stopped volunteering their views altogether and began attending meetings without contributing.

By the fourth month, a different problem had appeared. The committee had grown cohesive but in a problematic way. Afraid of disrupting the working relationship they had finally achieved, members avoided raising serious concerns about a flagship project — a ₹120 crore cold storage expansion — despite private reservations about the market demand projections supporting it. When Dr. Sahu asked for feedback on the project at the fifth meeting, all twelve members approved it without objection. One member later admitted: 'I knew the numbers looked optimistic, but I didn't want to be the one who upset the group.'

Six months after the cold storage expansion was approved, early occupancy rates confirmed the critics' worst fears: demand projections had been overstated by 40%. OAPL was now holding a significantly underutilized asset at considerable annual cost.

Discussion Questions:

1. Identify the stage of group development the SPC appeared to be stuck in during the early months. What prevented it from progressing?
2. Which specific perceptual error and group phenomenon allowed the cold storage expansion to be approved despite members' private doubts?
3. If Dr. Sahu had used the Nominal Group Technique for the cold storage decision, how might the outcome have been different?
4. Analyse the behaviour of Mr. Nayak and Ms. Biswal using Transactional Analysis. Which ego state were they most likely operating from during meetings?
5. What structural changes would you recommend to Dr. Sahu to prevent similar decision-making failures in future SPC meetings?